after an upward breakout. If price doesn't break out upward, then it's not a big W. I'll discuss identification guidelines later.

The above Results Snapshot shows important performance numbers for the big W. For example, the breakeven failure rate, at 9%, is quite good (meaning relatively small compared to other chart pattern types). The average rise for perfect trades is 46% (bull market), which is also good, hence the rank of 11 where 1 is best. Bear markets see price climb by 30%, which ranks 8 out of 20, where 1 is best.

If you use the full height of the pattern in the measure rule computation, price will reach the target 55% to 74% of the time (bear, bull markets, respectively).

Let's look at examples of big Ws.

Tour

Figure 7.1 shows what a big W looks like. The pattern has the first bottom at B, the second one at D, with a hill in between, C. The pattern confirms as valid when price closes above the top of the hill.

The left side of the pattern begins at A, which is what I call the launch price. The stock drops in a straight-line run down to the first bottom of the big W.

After the big W forms the second bottom, price recovers. In this example, the stock rises to E in a quick sprint higher from the low at D. That's still well short of the launch price, A. After point E, the stock is like a speedboat pulling a water skier. You get a lot a thrust to get the skier on top of the water (to E) and then the boat planes out (on the way to F). It's possible that the stock will recover and post a new ultimate high, so F is tentative until more data arrives.

Volume (G) has a U-shape (in this example) until the spike at D. Linear regression says volume trends upward from bottom to bottom, so that's why I drew the line sloping higher at G. Volume for the big W trends downward most often, though.